St Ignatius' College
Riverview

2026 | HIGHER SCHOOL CERTIFICATE

Task 1

Business Studies

General Instructions

- Working time – 55 minutes
- Write using black pen
- Calculators approved by NESA may be used

Total marks: 40

Section I – 10 marks

- Attempt Questions 1–10
- Allow about 15 minutes for this section

Section II – 30 marks

- Attempt Questions 11–13
- Allow about 40 minutes for this section

Section I

10 marks
Attempt Questions 1–10
Allow about 15 minutes for this section

Use the multiple-choice answer sheet for Questions 1–10.

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1 Company A sells clothes and company B sells insurance.

Which of the following is correct?

	Company A	*Company B*
A.	Goods which are tangible	Services which are intangible
B.	Services which are intangible	Goods which are tangible
C.	Goods which are intangible	Services which are tangible
D.	Services which are tangible	Goods which are intangible

2 Which of the following would be an example of adopting a cost leadership strategy in the operations process of a business?

A. Use high quality premium outputs
B. Reduce the volume manufactured
C. Improving design for current products
D. Increase manufacturing capacity

3 Which of the following transformation processes incorporates corrective action?

A. Sequencing and Scheduling
B. Monitoring, Control and Improvement
C. Technology, Task Design and Process Layout
D. Volume, Variety, Variation in Demand and Visibility

4 A pharmaceutical company invests heavily in research and development of a new medication.

Which of the following best represents the scenario above?

	Strategic Role of operations	*Operations Strategy B*
A.	Cost leadership	Dependability
B.	Goods/service differentiation	New product design and development
C.	Cost leadership	Global sourcing
D.	Goods/service differentiation	Customisation

5 Which of the following is NOT an example of a business acting with ethical responsibility?

A. Reducing waste and recycling materials
B. Paying above the national minimum wage
C. Producing value for money, quality products
D. Following the National Employment Standards

6 A business plans to change their manufacturing process. Management conducts a review to identify changes such as skill requirements, layout, and staff training.

This is part of which of the following?

A. Task Design
B. Process Layout
C. Product Layout
D. Critical path analysis

7 A five-star hotel business wants to differentiate itself from competition.

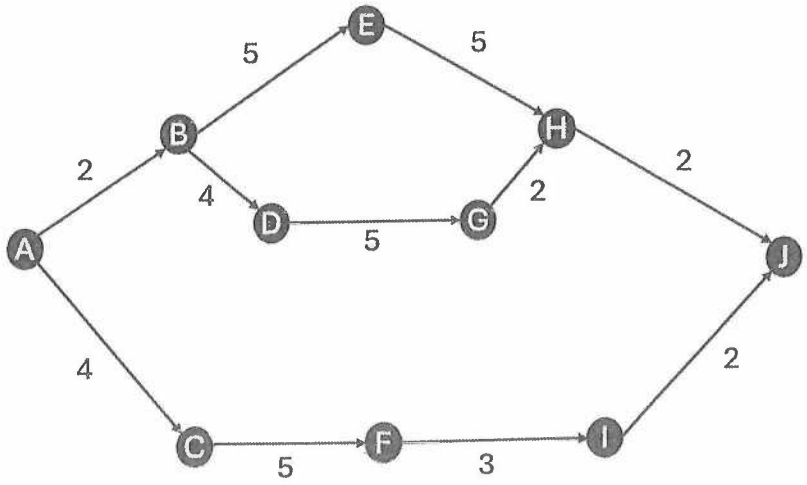
Which of the following would be the most appropriate changes to its operations function?

A. Increase spending on advertising
B. Increase cost of baggage handling
C. Introduce upgrades for repeat customers
D. Introduce complimentary tea and coffee in all rooms

8 Which of the following best demonstrates the influence of corporate socially responsible policies on operations management?

A. A company sponsoring a local community football club.
B. A financial company that regularly donates money to a local charity.
C. A fast-food restaurant that commits to only using environmentally sustainable inputs.
D. A furniture manufacturer that moves their production facility to a country with no pollution regulations.

9 The diagram below shows a critical path analysis for a project in days.



The following has occurred:

- Tasks B to E have increased by 2 days
- Task D to G have decreased by 1 day
- Task C to F have increased by 1 day.

What changes does this have on the Critical Path?

A. No Change
B. New Critical Path is ABEHJ
C. New Critical Path is ABDGHJ
D. New Critical Path is ACFIJ

10 An Australian business is considering outsourcing its manufacturing to Vietnam and selling products globally using e-commerce.

Which of the following is correct for this business?

	Advantage	*Disadvantage*
A.	Access to foreign inputs	Wider customer base
B.	Reduced lead times for Australian customers	Increased Competition
C.	Simplified operations	Larger payroll
D.	Access to larger markets	Increased lead times for Australian customers

End of Section I

Student Number

St Ignatius' College
Riverview

2026
HSC TASK 1

Business Studies
Section II

30 marks
Attempt Questions 11–13
Allow about 40 minutes for this section

Instructions

- Write your Centre Number and Student Number at the top of this page.
- Answer the questions in the spaces provided. These spaces provide guidance for the expected length of response.
- If you utilise a writing booklet for additional space, please ensure that it is clearly labelled

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2026 HSC

Business Studies

Student Number

Section II

30 marks
Attempt Questions 11–13
Allow about 40 minutes for this section

Question 11 (10 marks)

A luxury clothing brand for made to measure men's suits has set performance objectives to increase customisation and quality.

(a) Outline the strategic role of operations for this business. **2**

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(b) Distinguish between transformed and transforming resources for this business. **4**

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Question 11 (continues)

(c) Explain how the performance objectives impact operations processes for this business. **4**

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End of Question 11

Please turn over

Question 12 (10 marks)

A business sells ice-creams and enjoys a prime position on a popular beach front. Sales have increased on weekends and school holidays due to a viral social media post highlighting the large selection of flavours and toppings.

(a) Using an example, outline how the quality expectations of customers would influence the outputs of operations for this business. **2**

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(b) Explain the influence that variety and variation in demand would have on the operations processes of this business. **4**

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(c) The management team of this business are considering whether they should outsource the production of their ice cream. **4**

Discuss the implications of outsourcing for this business.

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End of Question 12

Please turn over

Student Number

Section II (continued)

Question 13 (10 marks)

(a) Outline how operations and ONE other key business function are interdependent. **2**

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(b) How do increasing warranty claims impact operations? **4**

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Question 13 (continues)

(c) With reference to a business you have studied, explain how supply chain management can impact performance objectives. **4**

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End of Question 13

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